Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22

Context: Friday Tech Fest signals + SVH Capital cacao circle on June 26

1. Executive Summary

The convergence is accelerating. Nora (Kopi Bar, Berkeley) is onboarding. More partners are joining. Three signals are turning from grey to red:

- **DAO legal wrapper** (■ Red) — Member liability shield, DAO bank account, governance clarity for TDG holders
- **Tax-deductible donation channel** (■ Yellow) — Impact funds, corporate ESG, foundations need a 501(c)(3) to write checks
- **Personal bank account** (■ Red) — Gary's personal account is the bottleneck

Core insight

TrueTech Inc is just another DAO member. It contributes voluntarily and gets compensated in TDG — same as Nora, Kirsten, Matheus. No service agreement needed.

The UNA opens its own bank account. No TrueTech Inc custodian needed. Funds flow directly from partners → UNA bank account → tree planting.

Only one person reports under the CTA. Gary (40.76% TDG control) is the sole beneficial owner. Every other TDG holder remains pseudonymous — wallet address only.

Recommended structure

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Wyoming UNA/DUNA (nonprofit, DAO legal wrapper)

■■■ Own bank account (receives partner contributions)

■■■ TDG holders govern the UNA (pseudonymous — wallet only)

■■■ TrueTech Inc = DAO member (voluntary contributor)

■■■ Brazilian LTDA (CNPJ) = export/sourcing entity (DUNA-owned)

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2. Current State Assessment

Financial Flows

Current (problematic):

Brazil Farmers → Matheus (private CNPJ) → Export → TrueTech Inc → Gary's personal bank account → DAO expenses

Target (with UNA bank account + DUNA-owned CNPJ):

Brazil Farmers → DUNA-owned CNPJ → Export → TrueTech Inc (import/dist, DAO member) → UNA bank account → tree planting / DAO expenses

Risks in current flow

Risk	Severity
Personal liability (Gary's account)	■ High
No member liability shield (Ooki DAO precedent)	■ High
No tax-advantaged donation pathway	■ High
Governance ambiguity for TDG holders	■ High
Single-person dependency (Brazil — Matheus)	■ High
Tax reporting complexity	■ Medium
Brazil export compliance	■ Medium

Current Treasury

Only Main Ledger cash is available. Managed ledgers are earmarked for cacao shipment financing.

Item	Amount
Main Ledger USD	$3,476.27
Main Ledger USDT	$66.93
Main Ledger Brazilian Reis	~$583.53
Total available cash	**~$4,126.73**
TDG issued	~2.3M tokens across ~350 contributors

3. CTA Beneficial Ownership — Who Reports

Under the Corporate Transparency Act (CTA), anyone who exercises **"substantial control"** or owns ≥**25%** of ownership interests must report BOI to FinCEN.

"Substantial control" includes:

1. Senior officer (CEO, CFO, etc.)
2. Authority to appoint/remove senior officers or board

3. Substantial influence over important decisions (bank accounts, contracts, treasury)

From the Contributors Voting Weight ledger

Rank	Contributor	% Controlled	CTA Trigger?
1	**Gary Teh**	**40.76%**	■ Yes — >25% + control
2	Garis Pang	2.89%	■ No
3	Fatima Toledo	2.81%	■ No
4-10	Various	<3% each	■ No
11-350+	All other TDG holders	<2% each	■ No

Result: Only Gary needs to report. Every other TDG holder (~350 people) remains pseudonymous — wallet address only. No cascading KYC.

4. Recommended Path: OtoCo UNA → Bank Account

Step 1: Form the UNA (This Week)

Gary + TrueTech Inc (2 wallets) sign OtoCo's on-chain UNA smart contract.

- Cost: ~$50 gas
- Time: 1 day
- Result: Wyoming UNA formed. Liability shield active.

Step 2: Get EIN + Open Bank Account (Next 2-4 Weeks)

1. UNA applies for IRS EIN (free, online)
2. UNA opens a Wise Business account (we already use Wise for Brazil)
3. Fallback: Mercury or Relay

UNA → DUNA conversion uses the same EIN and same bank account. No reset needed.

Step 3: Route Partner Contributions Through UNA Account

Nora's coffee sales → UNA bank account → tree planting

TrueTech Inc continues handling import/distribution as a DAO member, compensated in TDG.

Step 4 (Later): Form DUNA-Owned Brazilian CNPJ

- Cost: $1,000-$3,000
- Timeline: After UNA bank account is operational
- Result: Export channel becomes a DAO asset

Why this works

Before	After
Gary's personal account collects funds	UNA bank account collects DAO funds
Gary bears personal liability	UNA provides liability shield
Matheus's private CNPJ is export channel	DUNA-owned CNPJ is export channel
TDG holders vote on "the community"	TDG holders vote on the UNA
No clear answer for impact funds	UNA can pursue 501(c)(3)
TrueTech Inc needed as custodian	TrueTech Inc is just a member
350+ TDG holders potentially exposed to KYC	Only Gary reports — everyone else pseudonymous

5. Cost Analysis

Path A: OtoCo UNA → Bank Account (Recommended — Do Now)

Item	Cost
OtoCo smart contract (2+ wallets)	~$50 gas
IRS EIN application	Free
Bank account minimum deposit	$0-$500
Annual Wyoming license tax	$60-$200/yr
Registered agent	$100-$200/yr
Total Year 1	**~$250-$750**
% of available treasury	**~6-18%**

Path B: Full DUNA via Law Firm (Future)

Item	Cost
State filing	$100
Legal fees	$20,000-$60,000
Annual costs	$200-$400/yr
Total Year 1	**~$20,500-$60,500**

Path C: Brazilian LTDA (DUNA-Owned)

Item	Cost
Formation	$1,000-$3,000
Annual compliance	$500-$2,000/yr

Path D: 501(c)(3) Application (Downstream)

Item	Cost
Tax attorney	$2,000-$10,000
IRS filing fee	$600-$2,500
Timeline	6-12 months

6. Implementation Timeline

Phase	What	Cost	Timeline
Phase 1: This week	Gary + TrueTech Inc sign OtoCo → UNA formed	~$50 gas	1 day
Phase 2: Next 2-4 weeks	UNA gets EIN → opens bank account (Wise)	$0-$500	2-4 weeks
Phase 3: Ongoing	Route partner contributions through UNA account	$0	After bank account
June 26	Ask SVH Capital about DUNA + 501(c)(3) pathway	$0	One conversation
Later	UNA auto-converts to DUNA at 100 members	$0	Automatic
Later	Form DUNA-owned Brazilian LTDA	$1K-3K	4-8 weeks
Later	501(c)(3) application	$2K-10K	6-12 months

7. Questions for SVH Capital (June 26)

Primary

1. **UNA bank account:** Will a freshly-formed Wyoming UNA be able to open a US bank account? We already use Wise for Brazil — will they accept a UNA?

2. **DUNA formation:** Can you refer us to a Wyoming law firm? Or is the OtoCo UNA → DUNA path sufficient for our stage?

3. **Governance clarity:** Can a Wyoming UNA/DUNA issue TDG tokens to a for-profit C-corp (TrueTech Inc) as member compensation?

4. **501(c)(3) pathway:** Realistic timeline and cost for IRS exemption for a DAO that plants trees?

5. **DUNA-owned Brazilian CNPJ:** Can a Wyoming DUNA directly own a Brazilian LTDA? If not, what's the cleanest intermediate structure?

6. **TDG as compensation:** Would your referred counsel consider a partial TDG token grant to reduce cash outlay?

Secondary

7. What do impact funds look for in a DAO's legal structure before writing a check?
8. How should the UNA/DUNA structure carbon credit rights?
9. Is there a practical upper limit on UNA/DUNA members before compliance complexity increases?

8. Clarifying Questions for the DAO

1. Should TDG tokens represent membership in the UNA directly, or a separate membership token?
2. Is TrueTech Inc comfortable being a DAO member compensated in TDG, with no separate service agreement?
3. Should the UNA own the Brazilian LTDA directly, or via a separate holding LLC?
4. Apply for 501(c)(3) immediately after UNA formation, or wait for a donation track record?
5. Carbon credits: asset of the UNA (mission-locked) or TrueTech Inc (tradeable)?
6. When should we transition from Matheus's private CNPJ to a DUNA-owned CNPJ?

9. Risks and Mitigations

Risk	Likelihood	Impact	Mitigation
Bank refuses fresh UNA	Medium	High	Mercury, Relay, or Wise; TrueTech Inc as backup custodian
IRS denies 501(c)(3) for DAO	Low	High	Clear charitable purpose; crypto-nonprofit precedent exists
Wyoming UNA/DUNA law changes	Low	Medium	Monitor; Wyoming is pro-DAO
Brazilian LTDA formation delays	Medium	Low	Matheus continues using private entity interim

Risk	Likelihood	Impact	Mitigation
TDG classified as security	Low	High	UNA membership tokens generally not securities
Insufficient treasury for full-service legal	High	Medium	OtoCo path costs ~$50; full-service requires fundraising

10. Appendix: Key Terms

Term	Definition
DUNA	Decentralized Unincorporated Nonprofit Association — Wyoming entity for DAOs
UNA	Unincorporated Nonprofit Association — simpler precursor to DUNA, no 100-member minimum
DAO LLC	Wyoming LLC with DAO designation — for-profit
LTDA	Limitada — Brazilian limited liability company
CNPJ	Brazilian federal tax ID for businesses
501(c)(3)	US IRS tax exemption for charitable organizations
OtoCo	On-chain entity formation platform
TDG	TrueSight DAO Governance token
CTA	Corporate Transparency Act — US law requiring BOI reporting to FinCEN
BOI	Beneficial Ownership Information
FinCEN	Financial Crimes Enforcement Network
Wise	International money transfer and multi-currency business account provider
Ooki DAO	CFTC enforcement action — DAO token holders may be treated as general partners